

	2024-01421315	Plaintiff’s motion for final approval of the parties’ class action and PAGA settlement is GRANTED. The Court approves the following distributions: 1. Attorney’s fees in the amount of \$160,050, or 30% of the GSA. The Court finds this amount to be a reasonable result in light of the quality of the result obtained, the work performed by class counsel, a review of the billing records provided, and the estimated lodestar. In approving this amount and examining the billing records provided, the Court is not approving any particular hourly billing rates proposed by class counsel. 2. Litigation costs in the amount of \$20,215, the full amount sought. 3. Administration costs in the amount of \$8,500, per the administrator’s declaration. 4. An enhancement of \$5,000 to plaintiff. In making this award, the Court has considered only the factors set forth in <i>Golba v. Dick’s Sporting Goods, Inc.</i> (2015) 238 Cal.App.4th 1251 and <i>Clark v. Am. Residential Servs. LLC</i> (2009) 175 Cal.App.4th 785. 5. Payment to the LWDA of \$32,500, per the parties’ PAGA allocation. Pursuant to section 384(b) of the Code of Civil Procedure, Plaintiff shall submit to the Court a final report on or before March 30, 2027 setting forth the actual amounts paid to class members and other amounts disbursed pursuant to the settlement. Upon receiving the report, the Court will determine whether further reports and/or a hearing will be necessary. Please submit a revised proposed order for the Court’s signature that conforms to the foregoing.
6	PELORUS FUND REIT, LLC, a Delaware limited liability company vs. ARGENT INSTITUTIONAL TRUST COMPANY, as successor in interest to Acquiom Agency Services LLC, a Florida corporation 2026-01563653	Plaintiff’s Motion for Attorney Fees Pelorus Fund REIT, LLC’s motion for attorney’s fees is DENIED. The Court has not considered any of the parties’ citations to unpublished decisions of the California Superior Courts. (See <i>Santa Ana Hospital Medical Center v. Belshe</i> (1997) 56 Cal.App.4th 819, 831 (“a written trial court ruling has no precedential value”).) <u>GROUND FOR RULING</u> The CNG Defendants, joined by Argent, filed a special motion to strike Pelorus’s complaint under CCP § 425.16. The Court denied that motion, ruling that the CNG Defendants and Argent failed to meet their burden under step one of the anti-SLAPP analysis. (ROA 121.) Pelorus now seeks its attorney’s fees incurred in opposing the motion under CCP § 425.16(c)(1), which provides in relevant part: “If the court finds that a special motion to strike is frivolous or is solely intended to cause unnecessary delay, the court shall award costs and reasonable attorney’s fees to a plaintiff prevailing on the motion, pursuant to [CCP] Section 128.5.” I. <u>Safe Harbor Compliance</u> “Section 425.16, subdivision (c)’s reference to section 128.5 means a court “‘must use the procedures and apply the substantive standards of section 128.5 in deciding whether to award attorney fees [to a prevailing plaintiff] under the anti-SLAPP statute.’”” (<i>Zarate v. McDaniel</i> (2023) 97 Cal.App.5th 484, 488 (alteration in original).) “Relevant here, section 128.5, subdivision (f)(1)(B) is a safe harbor provision, which provides that where the challenged action—like a written motion—‘can be withdrawn or appropriately corrected,’ a motion for sanctions cannot be filed with the court unless the challenged action has not been withdrawn or corrected ‘21 days after service of the [sanctions] motion or [within] any other period as the court may

	prescribe.” (<i>Id.</i>, at p. 489.) “Courts strictly apply section 128.5, subdivision (f)’s safe harbor provision. [Citation.] If a moving party fails to comply with it, the sanctions motion must be denied.” (<i>Ibid.</i>) Here, there is no dispute that Pelorus failed to follow the safe harbor requirements. Indeed, its motion for fees was served after the Court had already denied the anti-SLAPP motion, making it impossible for the CNG Defendants and Argent to withdraw their motion. Pelorus’s fee motion is accordingly denied. Pelorus offers two arguments against this conclusion. First, in its reply papers, Pelorus rejects the rule set forth in <i>Zarate</i>. Pelorus quotes an unpublished Court of Appeal case for the proposition that § 128.5(f) is “inapplicable to requests for anti-SLAPP attorney’s fees.” (Reply at p. 6 (quoting <i>Ibbetson v. Grant</i> (Dec. 7, 2021, G059067) 2021 WL 5783174, at *6).) <i>Zarate</i> is published authority; <i>Ibbetson</i> is not. This Court is bound to follow published cases. (See <i>Auto Equity Sales, Inc. v. Superior Court</i> (1962) 57 Cal.2d 450, 455.) Furthermore, the citation to <i>Ibbetson</i> violates the Rules of Court. Pelorus is cautioned that further citation to unpublished appellate opinions may result in an order to show cause why it should not be sanctioned for violating CRC 8.1115(a). Second, Pelorus argues compliance with the safe harbor requirement was not possible, and therefore excusable. It relies on <i>Changsha Metro Group Co., Ltd. v. Xufeng</i> (2020) 57 Cal.App.5th 1, which holds “that if it is not possible to comply with the safe harbor and separate motion requirements of section 128.5, subdivision (f) when seeking attorney’s fees, then one should use the procedures set forth in subdivisions (a) and (c).” (<i>Id.</i>, at p. 18.) <i>Changsha</i> notes that in the usual anti-SLAPP context, compliance with the safe harbor requirement is all but impossible. An anti-SLAPP motion must be heard within 30 days of filing, so “plaintiff would need to draft and serve its section 128.5, subdivision (f) sanctions motion almost immediately after receiving the anti-SLAPP motion due to the 30-day clock that is running for the hearing date. Then, the plaintiff would need to draft its opposition to the anti-SLAPP motion while risking that the defendant will withdraw or correct its anti-SLAPP motion during the 21-day safe harbor period.” (<i>Id.</i>, at p. 19.) <i>Zarate</i>, however, clarifies that <i>Changsha</i>’s rule is inapplicable when there is sufficient time to comply with the safe harbor requirement. There, the hearing on the anti-SLAPP motion was scheduled for three months after the motion was filed, giving the plaintiffs more than enough time to “ascertain whether it was frivolous or intended to cause unnecessary delay, draft their attorney fees motions, and serve those motions on [the defendant] with sufficient time to provide him a 21-day window within which he could have withdrawn that motion before the court ruled on it.” (<i>Zarate, supra</i>, 97 Cal.App.5th at p. 491.) This case is closer to <i>Zarate</i> than <i>Changsha</i>. The anti-SLAPP motion was filed on May 22. It was originally set for hearing on July 10, 49 days later. (The hearing was later continued to August 4, but for purposes of this analysis, the original hearing date is the relevant one.) To provide the CNG Defendants and Argent 21 full days before the hearing to decide whether to withdraw the motion, Pelorus would have had to serve its motion for fees no later than June 18, 22 days before the hearing. June 19 is 27 days from May 22. This is hardly the situation in <i>Changsha</i>, where a plaintiff would have to draft and serve its fee motion “almost immediately.” (<i>Changsha, supra</i>, 57 Cal.App.5th at p. 19.) Compliance with the safe harbor requirement was feasible here. Pelorus further contends that because the amount of fees it incurred was unknown until the Court ruled on the anti-SLAPP motion, compliance with the safe harbor requirement was impossible. On this point, Pelorus relies on <i>Hart v. Avetoom</i> (2002) 95 Cal.App.4th 410, which holds that the sanctions motion initially served and the sanctions motion subsequently filed must be identical. (See <i>id.</i>, at p. 414 (“True, the two motions were similar, but the
--	---

	problem is they were not the same. ‘Close’ is good enough in horseshoes and hand grenades, but not in the context of the sanctions statute.”.) Pelorus reasons that with the amount of fees unknown before the Court’s ruling, the sanctions motion served would necessarily differ from the sanctions motion filed, since the latter would specify a dollar amount sought. But Pelorus could have asked for fees in an amount to be determined rather than specifying a dollar amount. This would avoid the identical-motion problem. Because Pelorus failed to comply with the safe harbor requirement, its motion for fees is denied. II. <u>Frivolousness and Delay</u> Even if Pelorus complied with the safe harbor requirement, its motion fails on the merits. A prevailing plaintiff may recover fees incurred in opposing an anti-SLAPP motion only when a court finds the anti-SLAPP motion was frivolous or brought solely to cause unnecessary delay. (CCP § 425.16(c)(1).) A. <u>Frivolousness</u> “A determination of frivolousness requires a finding the anti-SLAPP ‘motion is “totally and completely without merit” [citation], that is, “<i>any reasonable attorney would agree such motion is totally devoid of merit.</i>”’” (Moore v. Shaw (2004) 116 Cal.App.4th 182, 199 (emphasis original).) In this regard, the mere rejection of the anti-SLAPP movant’s arguments should not be confused for frivolousness. (See, e.g., Albanese v. Menounos (2013) 218 Cal.App.4th 923, 937 (denying fees under § 425.16(c)(1) because “[a]lthough we rejected Menounos’s contentions on the merits, we cannot say her contentions were frivolous or exceeded the bounds of rational argument.”).) The anti-SLAPP motion here was not frivolous. The gravamen of the motion was that Pelorus’s claims all arose from statements made in, or in connection with, the Receivership Action pending in San Diego County Superior Court. The Court found the motion failed at step one because the CNG Defendants and Argent failed to establish, as a matter of law, that Pelorus’s claims arose from statements made in the Receivership Action. But the CNG Defendants and Argent’s arguments weren’t frivolous. For example, Pelorus’s complaint alleges the defendants claimed to have nonexistent or unenforceable secured interests that interfered with Pelorus’s senior secured interests. (Compl. ¶ 143(b).) The Court held that because this allegation could be a reference to UCC financing statements that long predated the Receivership Action, it was impossible to say <i>as a matter of law</i> that the allegation arose from the Receivership Action. In the context of this action, however, it was hardly irrational for the CNG Defendants and Argent to believe this allegation was about statements made in the Receivership Action. As the Court noted in its ruling, this case was arguably filed in response to developments in the Receivership Action. Furthermore, while the defendants couldn’t show <i>as a matter of law</i> that Pelorus’s claims arose from protected activity, the allegations of the complaint could be read to cover protected activity. B. <u>Delay</u> “Whether the sole purpose of the motion is to harass an opposing party or the motion is solely intended to cause unnecessary delay, in contrast, concerns the subjective motivation of the moving defendant. [Citation.] The moving defendant’s subjective motivation can be inferred from the absence of any arguable merit.” (Chitsazzadeh v. Kramer & Koslow (2011) 199 Cal.App.4th 676, 684.) As set forth above, the anti-SLAPP motion had arguable merit. The Court therefore will not infer the motion was brought for the sole purpose of delay. Instead, Pelorus must prove defendants’ subjective motivation. First, Pelorus argues “Defendants filed their motion to trigger [the automatic discovery stay of CCP § 425.16(g)], and Argent followed suit by filing their
--	--

		joinder one week later.” (Mot. at p. 9.) In support of this argument, Pelorus cites to paragraphs 7 and 8 of its counsel’s declaration. Paragraphs 7 and 8 state the dates the motion and joinder were filed, but neither paragraph says anything about the defendants’ motivation for filing. Nor does Pelorus put on evidence that it served discovery requests before the motion was filed. Second, Pelorus argues the delay motivation is shown by the defendant’s decision to submit on the Court’s tentative ruling without presenting oral argument. Pelorus reads far too much into this decision. “Submission on a tentative ruling is neutral; it conveys neither agreement nor disagreement with the analysis.” (<i>Mundy v. Lenc</i> (2012) 203 Cal.App.4th 1401, 1406.) Third, Pelorus argues an email from the CNG Defendants’ counsel “emphasized the effect of their motion as creating delay.” (Mot. at p. 10.) The Court disagrees with this reading of the email. As the CNG Defendants argue in their opposition, the email is better read as a routine scheduling conferral between parties. (Opp. at pp. 12-13.) Finally, Pelorus argues the anti-SLAPP motion was filed to deny Pelorus its procedural due process rights. This argument makes little sense. Pelorus puts on no evidence that the delay associated with an anti-SLAPP motion will deny it the ability to have its claims heard in court. The Court does not see how delay equates with denial in this case. Moreover, to the extent the hearing on the anti-SLAPP motion was further delayed when it was continued from July 10 to August 4, that delay came at the request of Pelorus’s counsel. (ROA 76.) Pelorus has not shown the anti-SLAPP motion was filed for the sole, subjective purpose of delay.
7	Rivera vs. Simply Fresh, LLC 2025-01532908	Defendant’s Petition to Compel Arbitration Defendant Adept HR, Inc. moves to compel arbitration of Plaintiff Darwin Sanchez Rivera’s claims. Adept’s motion is joined by Defendant Simply Fresh, LLC. The motion is GRANTED. Plaintiff is ordered to arbitrate his claims (including the individual component of his PAGA claim) on an individual basis. His class claims are dismissed without prejudice. The representative component of his PAGA claim is stayed pending completion of arbitration. Because the arbitration agreement delegates questions of enforceability to the arbitrator, Plaintiff may renew his arguments about unconscionability in arbitration. An arbitration review conference will be held in Department CX-101 on June 30, 2027 at 8:30 a.m. <u>GROUND FOR RULING</u> I. <u>Existence of Agreement</u> A. <u>Standard of Review</u> The moving party bears the burden of proving the existence of an arbitration agreement by the preponderance of the evidence. (<i>Gamboa v. Northeast Community Clinic</i> (2021) 72 Cal.App.5th 158, 164.) But the burden of production shifts in a three-step process. (<i>Id.</i>, at p. 165.) “First, the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’ [Citation.] The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’” (<i>Ibid.</i>) “If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the